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CHAPTER 12: BUSINESS ETHICS, FRAUD, AND FRAUD DETECTION

Learning Objectives

After studying this chapter, you should be able to:

- Understand what business ethics means and why it is important.
- Know what fraud is and how dishonest actions happen in business.
- Explain the reasons why people commit fraud.
- Identify common fraud schemes done by employees and managers.
- Learn ways to prevent and detect fraud in manual and computerized systems.
- Understand how ACL software helps detect fraud and errors.

Ethical Issues in Business

Ethics are standards of right and wrong based on personal beliefs and society's values, and people may have different views on what is ethical; ethical issues are different from legal issues because something can be legal but still unethical, and many companies have faced scandals due to greed, fraud, and misuse of power by executives.

Business Ethics

Business ethics is about:

1. Deciding what is right in business.
2. Making sure the right actions are followed.

Main Areas of Ethical Issues

- **Equity** – fairness in treatment and decisions.

- **Rights** – respecting the rights of employees, customers, and others.
- **Honesty** – telling the truth and avoiding fraud.
- **Corporate Power** – using business power responsibly.

Ethical Decision-Making Principles

- **Proportionality** – benefits should be greater than risks.
- **Justice** – benefits and risks should be shared fairly.
- **Minimize Risk** – reduce harm and avoid unnecessary risks whenever possible.

Computer Ethics

- Computer ethics studies the proper and responsible use of computer technology.
- It includes issues about privacy, security, ownership, and misuse of computers.

Levels of Computer Ethics

1. **Pop Ethics** – basic awareness from news and media.
2. **Para Ethics** – deeper understanding needed by professionals and students.
3. **Theoretical Ethics** – research and study of ethical issues in technology.

Major Ethical Issues in Computer Use

Privacy

- People want control over their personal information.
- Questions arise about collecting, sharing, and selling data without permission.



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Security

- Protecting data from theft, errors, and unauthorized access.
- Balancing security with privacy is important.

Ownership of Property

- Software and digital files are considered intellectual property.
- Copying software illegally is called piracy.

Equity in Access

- Not everyone has equal access to technology because of money, language, or disabilities.
- Systems should be designed to help all users.

Environmental Issues

- Too much printing wastes paper and harms the environment.
- Recycling and reducing unnecessary printing are encouraged.

Artificial Intelligence (AI)

- AI systems can make mistakes or contain human bias.
- Questions arise about who is responsible for AI decisions.

Unemployment and Displacement

- Technology can replace workers and change jobs.
- Companies may need to retrain affected employees.

Misuse of Computers

- Examples include software piracy, hacking, and using company computers for personal gain.
- Ethical computer use means respecting rules, privacy, and property rights

Sarbanes-Oxley Act (SOX) and Ethical Issues

The Sarbanes-Oxley Act (SOX) was passed in 2002 after major company scandals like Enron and WorldCom, and its purpose is to improve honesty, accountability, and corporate governance in businesses..

Section 406 – Code of Ethics

- Public companies must tell the SEC if they have a code of ethics for top financial officers such as the CEO and CFO.
- If they do not have one, they must explain why.

Important Ethical Requirements

Conflicts of Interest

- Employees and managers must avoid situations where personal interests affect work decisions.
- Any conflicts should be properly disclosed and handled honestly.

Full and Fair Disclosure

- Companies must provide accurate, complete, and understandable financial reports.
- Misleading accounting practices are prohibited.



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Legal Compliance

- Employees must follow laws, rules, and company policies.
- Companies should provide ethics training and guidance.

Internal Reporting of Violations

- Employees should be able to report unethical actions confidentially.
- Many companies use ethics hotlines for reporting issues.

Accountability

- Companies must discipline employees who violate ethical rules.
- Audit committees help monitor ethics and internal controls.

Fraud and Accountants

- Auditors are responsible for helping detect fraud during financial audits.
- After major scandals, the Sarbanes-Oxley Act increased auditors' responsibilities in fraud detection.
- Auditors follow **SAS No. 99**, which requires checking risks of fraud during audits.

Fraud

Fraud is the intentional act of deceiving others for personal gain or causing loss to another person or company.

Conditions of Fraud

A fraud case usually includes:

1. False statement or hiding information
2. Important fact involved

3. Intent to deceive

4. Victim relied on the false information

5. Victim suffered loss or damage

Types of Fraud

Employee Fraud

- Done by nonmanagement employees.
- Usually involves stealing company assets or cash.
- Employees often try to hide the theft by changing records.
- Strong internal controls can help prevent or detect this fraud.

Management Fraud

- Done by managers or executives.
- Often involves manipulating financial statements to make the company look successful.
- May be done to increase stock prices, bonuses, or promotions.
- More dangerous because managers can override internal controls.

Characteristics of Management Fraud

1. Done by higher-level management
2. Makes the company appear healthier than it really is
3. Often hidden through complicated transactions

The Fraud Triangle

The **Fraud Triangle** explains the three main factors that can lead a person to commit fraud.



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1. Pressure

- Personal or work problems that push someone to act dishonestly.
- Examples: debt, gambling problems, or financial stress.

2. Opportunity

- Having access to money, assets, or information that allows fraud to happen.
- Weak internal controls increase opportunity.

3. Ethics

- A person's morals and values.
- People with weak ethical standards are more likely to commit fraud.

Financial Losses from Fraud

- According to the Association of Certified Fraud Examiners (ACFE), businesses lose about **7% of annual revenue** because of fraud and abuse.
- In 2008, fraud losses were estimated at about **\$994 billion**.

Why Fraud Costs Are Hard to Measure

1. Not all fraud is discovered.
2. Some detected fraud is not reported.
3. Information about fraud cases may be incomplete.
4. Fraud details may not reach management or authorities.
5. Some companies choose not to take legal action.

ACFE Study Findings

- Median fraud loss per case: **\$175,000**

- About **25% of organizations** lost **\$1 million or more** because of fraud.

The Perpetrators of Frauds

The Association of Certified Fraud Examiners (ACFE) studied the people who commit fraud and the losses they cause.

Fraud by Position within the Organization

- **40%** of fraud cases were committed by employees.
- **37%** were committed by managers.
- **23%** were committed by executives or owners.

Employees commit more fraud cases, but fraud by executives usually causes larger financial losses.

Fraud Losses and the Collusion Effect

Collusion means two or more people working together to commit fraud.

- Fraud involving collusion is harder to detect because people help hide the crime.
- Fraud by one person had a median loss of **\$115,500**.
- Fraud involving collusion had a much higher median loss of **\$500,000**.

Fraud schemes involving teamwork or cooperation usually cause greater damage to organizations.

Fraud Losses by Gender

- Median loss caused by males: **\$250,000**
- Median loss caused by females: **\$110,000**



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Fraud Losses by Age

- Younger than 26: about **\$25,000** loss
- Ages 51–60: about **\$500,000** loss

Older employees often cause larger fraud losses because they hold higher positions.

Fraud Losses by Education

- High school graduates: about **\$100,000** loss
- College graduates: about **\$210,000** loss
- Postgraduates: about **\$550,000** loss

More educated employees usually have greater access to company assets, leading to larger fraud losses.

Fraud Schemes

Fraud schemes are grouped into three main types:

1. Fraudulent Statements

- Involves changing financial statements to make a company appear better financially.
- Usually committed by management.
- Causes the highest losses.

2. Corruption

- Involves abuse of power for personal gain.

3. Asset Misappropriation

- Involves stealing company assets or cash.
- Most common type of fraud but usually causes smaller losses.

Common Causes of Financial Statement Fraud

- Lack of auditor independence
- Weak or dependent board of directors
- Excessive executive compensation and stock options
- Improper accounting practices

Sarbanes-Oxley Act (SOX) and Fraud

The **Sarbanes-Oxley Act (2002)** was created to restore investor trust after major corporate frauds and failures.

The main purpose is to improve corporate accountability, strengthen auditing and financial reporting, and prevent fraud in public companies.

1. Accounting Oversight Board

- Created the **PCAOB**
- Oversees auditors and sets auditing standards
- Inspects and disciplines accounting firms

2. Auditor Independence

Auditors cannot provide certain services to audit clients, such as:

- Bookkeeping
- Systems design
- Valuation services
- Internal audit outsourcing
- Management or HR services
- Legal or investment services

3. Corporate Governance

- Audit committees must be independent
- They hire and supervise external auditors



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- Companies cannot give loans to executives
- Lawyers must report serious legal violations

4. Disclosure Requirements

- Companies must report off-balance-sheet transactions
- Management must confirm strong internal controls
- CEOs and CFOs must certify financial statements
- False certification is a crime

5. Fraud Penalties

- Strong criminal penalties for fraud
- Includes punishment for:
 - destroying documents
 - securities fraud
 - whistleblower retaliation

Corruption and Asset Misappropriation

Corruption

- Involves employees working with outsiders for personal gain.
- Types:
 - **Bribery** – money or gifts to influence decisions.
 - **Illegal gratuities** – gifts given after a favor is done.
 - **Conflict of interest** – personal gain affects work decisions.
 - **Economic extortion** – threats used to force payment.

- Happens in about **10%** of fraud cases.

Asset Misappropriation

- Most common fraud (**about 90% of cases**).
- Involves stealing or misusing company assets.

Common Types:

- **Skimming** – stealing cash before it is recorded.
- **Cash larceny** – stealing recorded cash (e.g., lapping).
- **Billing fraud** – fake vendors or fake invoices.
- **Check tampering** – altering or forging company checks.
- **Payroll fraud** – fake or inflated employee payments.
- **Expense fraud** – fake or exaggerated expense claims.
- **Cash theft** – stealing physical cash.
- **Non-cash theft** – stealing inventory or data.

Computer Fraud

Computer fraud is the misuse of computer systems to steal money, data, or assets. It can happen at different stages of an information system.

1. Data Collection

- Fraud happens by entering false or altered data.
- Examples:



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- Fake payroll entries or inflated hours
- Fake suppliers or invoices
- Network attacks include:
 - **Masquerading** (pretending to be an authorized user)
 - **Piggybacking** (hitching onto a real user's session)
 - **Hacking** (unauthorized system access)

2. Data Processing

- Fraud happens by changing programs or system logic.
- Examples:
 - **Virus attacks**
 - Changing program rules (e.g., “salami fraud” stealing small amounts)
- Also includes misuse of company computers for personal work.

3. Database Management

- Involves stealing, altering, or destroying data.
- Example: inserting a **logic bomb** that deletes files under certain conditions.

4. Information Generation

- Fraud happens by stealing or misusing output reports.
- Examples:
 - **Scavenging** (retrieving data from trash)

- **Eavesdropping** (intercepting data transmissions)

Auditor's Responsibility for Detecting Fraud

Auditors must actively consider fraud during all stages of a financial audit under **SAS No. 99**.

Auditors must:

- Understand fraud and its characteristics
- Use professional skepticism
- Discuss fraud risks with audit team
- Gather and evaluate audit evidence
- Identify and assess fraud risks
- Respond to detected risks
- Communicate possible fraud
- Properly document findings

Fraud Risk Areas

1. Fraudulent Financial Reporting (Management Fraud)

Risk factors include:

- Weak or dishonest management (“tone at the top”)
- Poor economic or industry conditions
- Complex or unstable financial activities

Common fraud schemes:

- Fake revenue recognition
- Inflated assets
- Hidden liabilities or expenses
- Incomplete financial disclosures



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2. Misappropriation of Assets (Employee Fraud)

Risk factors:

- Easily stolen assets (cash, inventory)
- Weak or missing internal controls

Common schemes:

- Ghost employees
- Fake expenses
- Personal purchases using company funds
- Check manipulation
- Fake vendors
- Theft of cash or inventory
- Lapping (covering stolen cash with future receipts)

An auditor checks if a company's financial statements contain fraud or mistakes.

How auditors respond to fraud risk:

- They assign skilled staff and supervise closely if fraud risk is high.
- They stay skeptical and carefully question evidence.
- They may change or increase audit procedures if they suspect fraud.

If fraud is found:

- If the fraud is small and does not affect the financial statements much:
 - Report it to higher management.
 - Check if it affects other parts of the audit.

- If the fraud is serious or its impact is unclear:

- Investigate further.
- Inform senior management and the audit committee.
- Determine how serious the fraud is.
- Recommend legal advice if needed.

- In extreme cases, the auditor may stop working with the company.

Documentation:

Auditors must record:

1. The fraud risks they identified.
2. How they responded to those risks.

FRAUD DETECTION TECHNIQUES

Payments to Fictitious Vendors

A worker creates a fake company and sends fake invoices to get company money.

Warning signs:

- Invoice numbers are in sequence.
- Vendor uses only a P.O. box.
- Vendor address matches an employee's address.
- Different vendors share the same address.
- Payments are just below the approval limit.

Auditor action:

Use ACL to sort, filter, and compare records to find suspicious vendors and payments.



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Payroll Fraud

This happens when employees are overpaid or fake employees are added to payroll.

Warning signs:

- Employees claim too many work hours.
- Duplicate payroll payments.
- Same employee name with different addresses or bank accounts.
- Payroll records without matching employee records.

Auditor action:

Use ACL to search for duplicate or unusual payroll data.

Lapping Accounts Receivable

Lapping is a fraud where an employee steals a customer's payment and hides it by using another customer's payment to cover the missing amount.

How It Works

1. Customer A pays → employee steals the money.
2. Customer B pays → money is used to cover Customer A's account.
3. Customer C pays → money covers Customer B's account.
4. The cycle continues to hide the theft.

The fraud is hard to detect because the only clue is a delay between:

- when payment is received, and
- when it is recorded.

Two Accounts Receivable Methods

1. Balance Forward Method

- Common for consumer accounts.
- Customers can carry unpaid balances to the next period.

Why lapping is hard to detect:

Carried-forward balances are normal, so the missing payment may not seem suspicious.

2. Open Invoice Method

- Common for business customers.
- Each invoice is tracked separately.
- Payments are usually full and on time.

Example:

- Customer A pays \$1,523.61 → employee steals it.
- Customer B pays → part of the money is used to cover Customer A's invoice.
- Customer B's invoice then remains partially unpaid.

This creates repeated "carried-forward" balances.

Auditor action:

Look for repeated unpaid balances or partial payments carried forward over time using ACL.